



Qualification Programme Examination Panelists' Report

Module 13 – Business Assurance (June 2021 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

Section A aimed to test candidates' ability to apply their technical knowledge to a wide range of topics, including their understanding of an audit committee's responsibilities under the corporate governance requirements, an evaluation of risk of material misstatements, and a suggestion of appropriate audit procedures in terms of inventory balance, research and development costs, and intangible assets, verification of management's representation, evaluation of the management process and controls over litigation and provision, and planning procedures in evaluating the inventory testing approach. The case facts provided simulated real-life experiences that auditors encounter day by day. In order to score high marks, candidates were expected to suggest practical and relevant audit procedures in response to the facts provided in the case. Simply copying and citing answers from the learning materials will not help candidates perform well in the examination.

Specific Comments

Question 1(a) – 5 marks

This question required candidates to explain the responsibilities of Natural Beauty's audit committee in relation to corporate governance requirements regarding an external auditor appointment.

The performance of the candidates on this question was satisfactory. Most of the candidates were able to make use of the case information to answer the question. However, some candidates did not read the question carefully and provided an explanation of audit committee responsibilities which were irrelevant to auditor appointment.

Question 1(b) – 2 marks

This question required candidates to explain the responsibilities of Natural Beauty's audit committee in relation to corporate governance requirements regarding notifications to shareholders about the acquisition of a subcontractor.

The candidates did not perform well in this question. This may have been due to candidates lacking an understanding of the listing rules and therefore being unable to suggest appropriate answers.



Question 1(c) – 3 marks

This question required candidates to explain the responsibilities of Natural Beauty's audit committee in relation to corporate governance requirements regarding the integration between Natural Beauty and the subcontractor after completion of the acquisition.

The performance of the candidates in this question was not satisfactory. This may have been due to candidates lacking real-life experience with handling business integration and therefore only being able to suggest answers related to the preparation of financial statements, such as consistency in accounting policies application and sufficiency of accounting disclosures in financial statements. However, candidates should remember that one of the key responsibilities of an audit committee is to monitor an entity's internal controls.

Question 2(a) – 6 marks

This question required candidates to evaluate the risk of material misstatements relating to the inventory balance in the consolidated financial statements of Natural Beauty in terms of the relevant assertions.

The performance of the candidates in this question was satisfactory. However, some candidates failed to explain the risk assessment and rationale in terms of each relevant assertion, which prevented them from scoring high marks. Candidates are reminded to read the question carefully and to provide answers in response to the question requirements.

Question 2(b) – 6 marks

This question required candidates to propose audit procedures to address the risk of material misstatements in terms of accuracy of the inventory balance in the consolidated financial statements of Natural Beauty.

The performance of the candidates in this question was fair. Some candidates overlooked the question requirement, which focused on accuracy assertion, and suggested irrelevant audit procedures related to existence, completeness, or valuation assertions. Some candidates failed to analyse the facts and failed to propose relevant audit procedures in relation to the matter. Answers should have focused on the internal control deficiencies on improper recording of raw material purchase cost identified in the prior year's audit results.

Question 3(a) – 5 marks

This question required candidates to identify the impacted relevant financial statement line items with relevant assertions, to advise on whether they agree with Wong & Co's risk assessment conclusion, and to explain their rationale.



The question was straightforward. The performance of the candidates was satisfactory. Many candidates correctly identified the impacted financial statement line items and the relevant assertions, which were the research and development expenses and intangible assets, in terms of completeness and accuracy. Candidates were expected to explain their rationale in supporting the risk of material misstatements assessment as high.

Question 3(b) – 7 marks

This question required candidates to propose audit procedures to address the risk of material misstatements related to the capitalisation of research and development expenses.

The performance of the candidates in this question was fair. Candidates who correctly identified the impacted financial statement line items in question 3(a) were able to propose relevant audit procedures. However, very few candidates considered the possible system impact in capturing the related research and development costs. This may have been due to candidates lacking real-life knowledge and experience in overseeing the process of research and development cost capitalisation.

Question 4(a) – 5 marks

This question required candidates to advise on whether they agreed with the audit manager's audit proposal on testing the reliability of the representation made by the group financial controller. If candidates agreed with the audit proposal, they were required to explain their rationale. If candidates disagreed with the audit proposal, they were required to propose other relevant audit procedures.

The performance of the candidates in this question was satisfactory. Many candidates disagreed with the audit manager's proposal and were able to demonstrate their technical knowledge in this area by suggesting appropriate audit procedures to verify management's representation.

Question 4(b) – 3 marks

This question required candidates to propose two management processes and controls that should be put in place related to identification of potential litigation cases and estimation of possible related provisions.

The performance of the candidates in this question was not satisfactory. Many candidates failed to suggest relevant management processes and controls. Some candidates even suggested audit procedures in their answers. Candidates were also advised to analyse matters from the perspective of management, which would help them to better evaluate the related audit risk.



Question 5 – 8 marks

This question required candidates to propose audit procedures in order to assess if management's new controls in place on inventory count could be relied on for the 2021 financial year audit.

The performance of the candidates in this question was fair. Some candidates were able to propose relevant audit procedures to evaluate the audit approach considering the new controls in place. Some candidates failed to understand the question requirements and the facts provided in the case and therefore failed to suggest relevant audit procedures.

(II) Section B – Essay/Short Questions

General Comments

Section B was comprised of live issues such as entities facing going concern issues and independence threats, handling replied confirmations, and IT controls. Through these live situations, candidates were required to apply their knowledge on auditing.

Specific Comments

Question 6 – 12 marks

This question required candidates to demonstrate how to handle replied confirmations.

Some of the situations described in this question are common but some of the situations are rare and required candidates to demonstrate a more in-depth analysis of the consequential impact. Candidates generally were able to respond well to the common situations but not to the tricky ones.

Question 7 – 14 marks

This question required candidates to assess material uncertainty relating to going concern existed.

The question included two different situations which required candidates to distinguish two different fact patterns and to conclude their assessment. The candidates performed well in this question and were able to apply their knowledge to these situations.

This question also required the candidates to demonstrate their analytical skills and reporting (communication) skills through a memorandum format. Candidates performed well in this new enabling competence requirement.



Question 8(a) – 6 marks

This question required candidates to evaluate a common independence issue on long association risk as well as to test their concept on a key audit partner.

Candidates generally performed well in this question and correctly identified whether the subject person was a key audit partner who was subject to rotation to safeguard the long association risk.

Question 8(b) – 3 marks

This question required candidates to evaluate, under the same situation, the independence threat of a person who was not a key audit partner.

The majority of the candidates did not distinguish the differences between the two persons and therefore did not perform well.

Question 8(c) – 3 marks

This question required candidates to evaluate, under the same situation, whether the audit firm can accept the engagement.

The majority of the candidates did not identify safeguards and therefore did not perform well.

Question 9(a) – 4 marks

This question required candidates to propose IT general controls to respond to the deficiency as set out in the question.

Candidates did not perform well in this question because their answers were too general and did not mitigate the risk specifically.

Question 9(b) – 4 marks

This question required candidates to design application controls to calculate interest income.

Candidates did not perform well as many of the candidates only provided general controls and not controls on specific interest calculations.

Question 9(c) – 4 marks

This question required candidates to propose controls to address credit risk.

Many candidates proposed procedures to address credit risk, which was not required by the question.



(III) Conclusion and Recommendation

In general, candidates did well in applying knowledge to live situations as they were able to make use of the case facts and perform sensible analyses and evaluations. However, these analyses could have provided more in-depth detail to demonstrate candidates' thorough understanding of the technical knowledge. In addition, the IT part of this examination is still a weak area for many of the candidates, as they continued to mix up the concepts of controls and audit procedures.